



English, Economics, Politics, and Philosophy

Unit 1 Evolution of Economics

Lesson 1.1b: The Fundamentals of Economics

Pertinent Concepts

- Resources
- Market (αγορά; agora)
- Consumers vs Suppliers
- Supplied-Demanded Law

Learning Goals:

- I will be able distinguish types of ‘resources’
- I will learn the origin of the ‘market’
- I will understand the ‘psychologies’ between sellers and buyers
- I will be familiar with the ‘supplied-demanded curve’

Success Criteria:

- I can discuss why the importance of price in the market.

MINDS ON

Question 1:

Suppose two ‘street vendors’ sells eggs at the same time; A vendor sets the price at 12\$ per carton; B vendor sets the price at 10\$ per carton; which vendor do you think will have better sales performance?

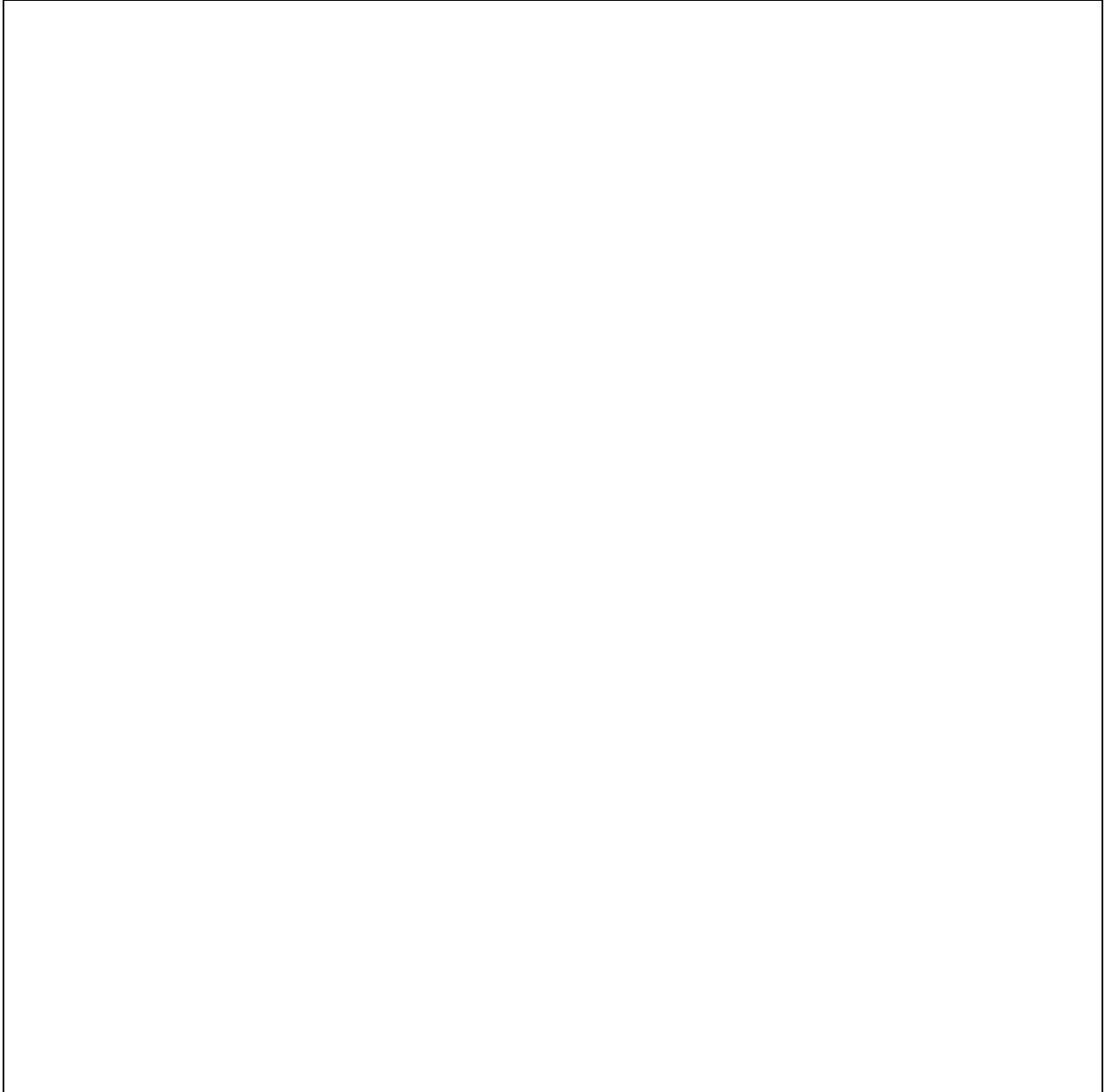


Text

Question 2:

Now let's watch a [short video](#) - Serbest Piyasa (Free Market)

What happened in the video?



ACTION

I. Resources

When we use the word, **resources**, in economics, we usually refer to ‘productive resources’ — **i.e., the resources that can be used for profit generation (make money).**

Four Factors of Production: Examples

In economics, factors of production are the resources people use to produce goods and services.



Land

Includes any natural resource.



Capital

Includes machinery, tools and buildings.



Labor

The effort that humans contribute.



Entrepreneurship

Combines land, labor and capital in new ways.

intangible, because we cannot ‘touch’ effort

Capital = ‘Money’
are houses capitals?

yes, because they generate money
(profit generation)

Creative boss/ creative manager
創業精神

a spirit; entrepreneur
creative founder

e.g., houses, money, tools, machinery

‘means of production’

Bill Gates, Steve Jobs

These resources will either be used for producing goods or providing services.

For example, to produce Ruby Diamond, we will need 1) the mining area that has diamond 2) miners that use 3) mining machine to excavate raw diamond 4) manager to combines these three innovatively (newly) for *minimizing the cost and maximizing the profit.*

II. Market

ἀγείρειν

ageírein / to gather together



Ageírein, is now translated as market in English. However, the origin of this word meant a place where people gather together – for buying, selling, decisions making. People can exchange goods here via money, or even *bartering*.

Question 3:

Do you think it is necessary for a business to have its in-person store? Or it can perhaps be ‘intangible’?

Indeed, businesses can exist tangibly, intangibly, or both.

Let's think of some examples.

1. No it can't (argument). why? because (reason) you cannot make your business become intangible.
2. (Opposing argument) Yes perhaps it can. Because there exists such thing called the internet, where consumer and suppliers are connected via digital website instead of a local store.

Opposing argument against 2.: No, because if it is intangible no body can receive your money.

There exists a thing called e-transfer for credit/debit card usage

Conclusion: you can't say whether a shop is tangible/intangible, because without the circumstances (i.e., online or in-person shop) given we cannot arbitrarily conclude the type of business.

One who sells things/ vendor

III. Consumers vs Suppliers

Buyers Provide

Supplier is the first role of the supply-chain, whereas

consumers is at the end; as shown below:

Division of Labour 分工合作/ Specialization 專精化

1776 Adam Smith 'The Wealth of Nation'

first modern economics book

The typical supply chain is:



Distribute (v)., sharing or spreading

However, for the supplier, the manufacturer becomes its

consumer; distributor becomes manufacturer's

consumers, and etc. But why?

Specialization = Civilization (文明; 和平)

Brazil is good at having trees - suppliers

Manufacturer can be China

Distributor can be USA

Vendor USA

Customer everywhere

(interdependency of the world)

global specialization

Needs

IV. Supplied-Demanded Law 供需法則

Provide Desire
 Wants

Now, three components, or rather three variables become very important, they are 1) quantity-supplied, 2) quantity-demanded, and 3) price. When we are measuring the **equilibrium** of the market (where resources are used effectively and efficiently), we formulate these three variables in a curve called **Supplied-Demanded curve** based on **Supplied-Demanded Law**.

Remember the **law of scarcity**, supplied-demanded law is based

on so; as it argues:

shortage(lack of something) of smt, the price of that smt will rise

1. **When an item is scarce but many people want it, the price of**

that item will rise e.g., rubby diamond

2. Conversely, if there is a large supply of an item than

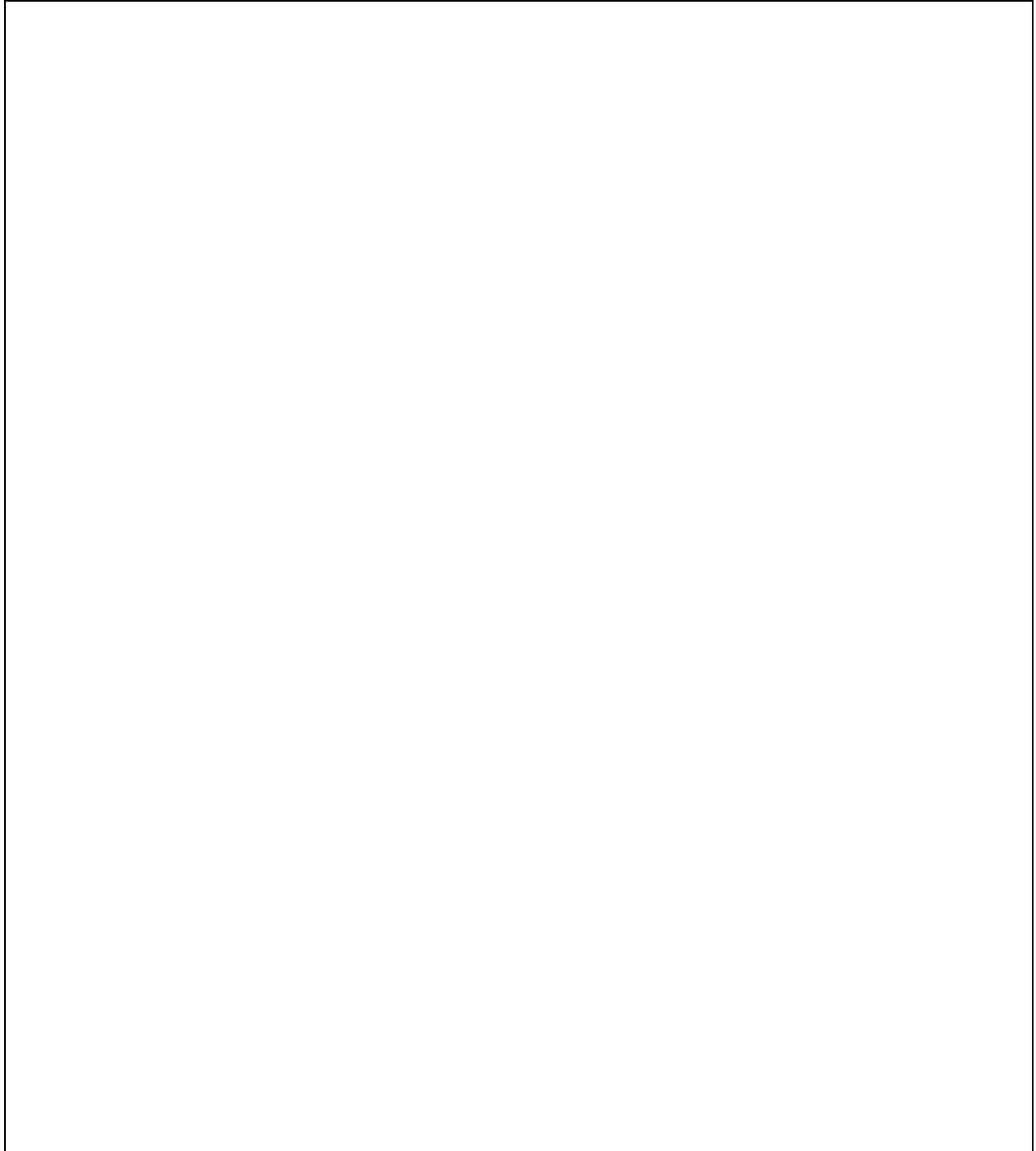
相反地

consumer demand warrants, **the price will fall**

Let's watch a video: <https://www.investopedia.com/terms/l/law-of-supply-demand.asp>.

Task:

Let's try to graph some Supplied-Demanded curve.



Co-Constructed Consolidation